AI and Employment Evidence Audit

What the Evidence Supports and What Remains Uncertain

Purpose. Evaluate evidence about AI and employment. Your team will distinguish predictions about what AI could do from evidence about actual AI use and observed labor-market outcomes.

Instructions. Work with your team. Use the assigned readings and the evidence summarized below. Do not use an LLM or outside sources. Your goal is not to prove that AI has no effect. Your goal is to decide how strong the current evidence is.

The Evidence Chain

Studies may examine different parts of the process:

Capability ⟶ **Exposure** ⟶ **Adoption** ⟶ **Changes in Work** ⟶ **Employment and Wages**

Evidence about one part of this chain does not automatically prove what happens at the next part.

Claim to Evaluate

AI adoption has caused a decline in entry-level employment.

Evidence Available

ILO Exposure Index

The ILO estimates that about one quarter of global employment has some exposure to generative AI. Exposure is higher in high-income economies and among women. The index measures which occupational tasks AI could affect. It does not measure actual AI use or employment changes.

Canaries in the Coal Mine

The Stanford researchers use payroll data covering millions of US workers. They find weaker employment growth for workers ages 22 to 25 in highly exposed occupations. The decline is strongest in occupations where AI is more likely to automate tasks. The analysis controls for changes within firms, but it does not directly observe when or how strongly each firm adopted AI.

EIG Critique

EIG shows that job postings in highly exposed occupations began declining before the public release of ChatGPT. Junior and senior postings also followed similar patterns. EIG argues that higher interest rates, weaker technology-sector hiring, and other economic changes could explain part of the decline.

Stanford Reply

The Stanford authors argue that exposure to higher interest rates does not match occupational exposure to AI. Their results remain after controlling for firm-level changes. However, the controlled decline in employment for young workers becomes statistically significant only in 2024.

Evidence from Denmark

Humlum and Vestergaard find widespread chatbot adoption and changes in workplace tasks. However, after two years, they find no detectable effects on earnings or hours larger than 2%. This suggests that work practices may change before effects appear in wages or working hours.

Your Team's Task

You have **15 minutes** to reach a decision. Prepare a 90-second report.

Your Team's Decision

Answer these four questions:

1. **What is the strongest evidence that AI has reduced entry-level employment?**
2. **What is the strongest alternative explanation for the observed decline?**
3. **Where is the weakest link in the evidence chain?** Consider whether the studies directly observe AI adoption, changes in work, and employment outcomes.
4. **What is your verdict?** Classify the claim as supported, plausible but unproven, or not supported.

Meaning of the Three Verdicts

- **Supported:** The evidence directly connects AI adoption to the employment decline and rules out the most important alternative explanations.
- **Plausible but unproven:** The evidence is consistent with an AI effect, but important alternative explanations or missing links remain.
- **Not supported:** The available evidence does not provide a convincing connection between AI adoption and the employment decline.

Team Briefing

Present your conclusion in this form:

> *"Our team judges the claim to be [supported / plausible but unproven / not supported]. The strongest evidence is . . . . The most important limitation or alternative explanation is . . . . The additional evidence that would help most is . . . ."*

Choose one person to give your team's 90-second report. Be prepared to explain why the other two verdicts are less convincing.

The activity evaluates the strength of current evidence, not whether AI could affect employment in the future.